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A healthy budget for addressing COVID-19 emergency

The vision of development strategy proposed through the budget is “Health above all” or “Health First”. The budget has declared that the economic policy of the government is to ensure equitable healthcare, nutrition and sustainable improvements in employment, income and economic welfare. Major highlight of the budget is the announcements for the Health sector in an unprecedented manner. Finance minister has focused on high spending in Health sector with several projects and plans to boost the public health system for effectively addressing the existing and potential waves of health emergencies. Government has announced the Second Covid Package of

- Rs. 20,000 crore to face the socio-economic and health challenges that are emerging in the backdrop of the second wave. The package includes Rs 2800 crore for health emergency situation, Rs 8900 crore for meeting the crisis due to loss of livelihood and Rs 8300 crore for providing interest subsidy to the loans for economic rejuvenation.
- Along with the announcement of free vaccination for all people of the State, commencement of vaccine research and the creation of industrial ecosystem for medical equipments / consumables, the budget has proposed six new initiatives in the health sector
 - Setting up of isolation wards for contagious diseases in all CHC, Taluk, District and General

hospitals by using Asset Development Fund of MLAs.

- Convert all Autoclave Rooms in Taluk, District and General Hospitals into Central Sterile Supply Department
- To establish a separate block in every medical colleges for managing contagious diseases
- Paediatric ICU wards in selected District hospitals and Medical colleges
- Proposed to set up a Liquid Medical Oxygen plant with 150 metric ton capacity along with 1000 metric ton reserve storage capacity.
- An institution will set up in the model of Centre for Disease in USA, for medical research and mitigation of contagious diseases.

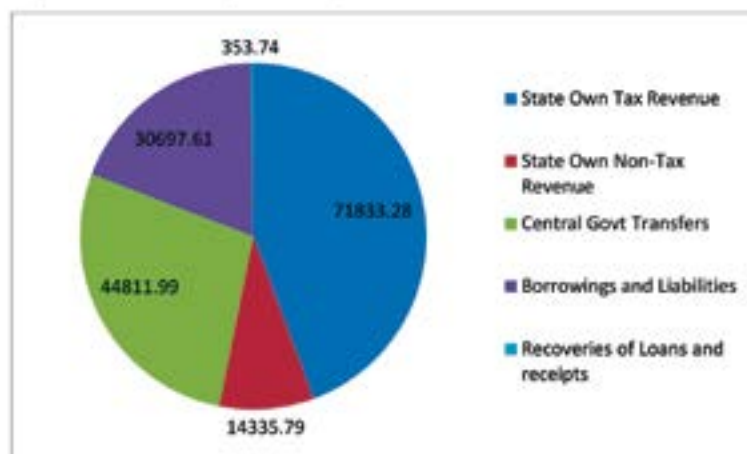
The thrust areas of health sector in the budget clearly shows the vision of the government to address not only the crisis due to the ongoing Covid pandemic, but also to equip the State for meeting the potential health emergencies due to possible threats of different diseases and thereby the loss of life of people.

Financial Rejuvenation and Agriculture

The budget has announced a financial rejuvenation loan scheme through primary cooperative societies and commercial banks for addressing the livelihood crisis due to COVID-19. There are three components to this; Cooperative Initiative for Agriculture Infrastructure in Kerala (CAIK), loan scheme for labour enterprises and loans to Kudumbashree neighbourhood groups. Interest rates for such loans will completely borne by the State and the refinancing schemes of NABARD, loan packages of Centre Govt, Reserve Bank of India etc will be utilised. Improving investment credit in agriculture sector can boost private capital formation, creation of local markets, warehouses, processing units

Revised Budget of Kerala State 2021-22

Rupee Comes From (Rs Crores)

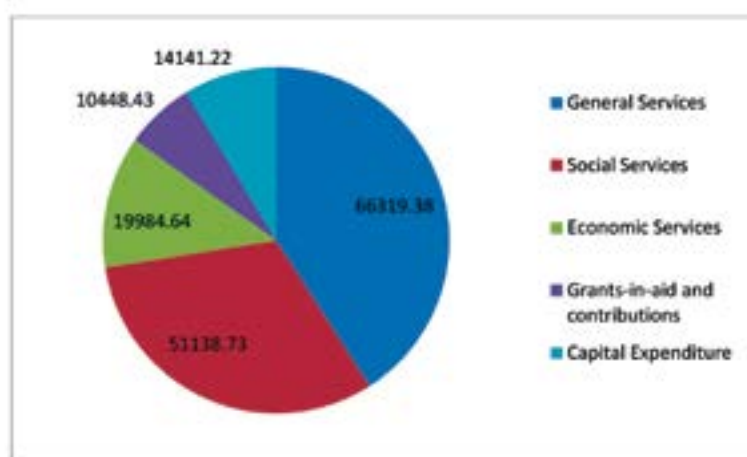


etc. under the loan scheme for labour enterprises, loans at reduced rates will be made available to start new enterprises in agricultural, industrial and service sectors for rejuvenating the non-operational enterprises. An amount of Rs 100 crore is earmarked for interest subvention.

The budget aims to provide Rs 2000 crores as loans during this financial year for boosting agriculture infrastructure in the State. Making Krishi Bhavans 'smart' and modernisation of Agriculture department for attracting youth to the farms sector and guaranteeing fair price to farmers have emphasised in the budget proposals. Modern technologies

like cloud computing, blockchain, data analytics, artificial intelligence etc will be used to upgrade the distribution of inputs, output, modernising agri-infrastructure and marketing of agriculture products. Five agro parks will be established and funds are allocated for value addition in dairy sector. The budget is also aiming the diversification of farming sector by promoting the cultivation of fruits like rambutan, avocado, dragon fruit, mangosteen etc. and allocated Rs 2 crore for its initial expenses. Finance minister has also allocated funds for building fish processing infrastructure and subsidy for rubber farmers. In the agriculture sector, the Government is focussing on

Rupee Goes to (Rs Crores)



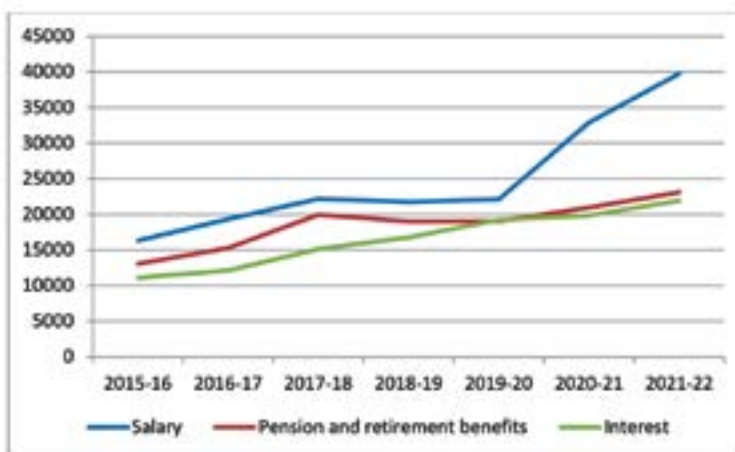
encouraging entrepreneurship, value addition and diversification for enhancing the farmer income at a very substantial level.

Industry, Environment and Tourism

The revised Kerala budget aims to provide concessional loans worth Rs 2000 crores for during this financial year. Entrepreneur support scheme will get Rs 25 crore and another Rs 15 crore is earmarked as margin money and interest assistance scheme for nano industrial housing units' project. The budget also announced a loan scheme for making fuel efficient and eco-friendly electric two wheelers and automobiles to those who engaged in various ordinary jobs like newspaper distributors, fish vendors, retailers, home delivery boys etc. Finance minister has also announced a low interest rate entrepreneurship loan for SC/ST community. He has assured that special attention will be given for rehabilitating about 14,32,736 Pravasis returned to Kerala due to Covid pandemic. The budget allocated Rs 5 crore for the initial phase of Smart Kitchen Project implementing through KSFE for reducing the difficulty in domestic work. It is also proposed to set up a Venture Capital Fund with a corpus of Rs.100 crore to activate the rapid growth of small scale enterprises and start-ups. The fund would be mobilized through the participation of KFC, KSFE, KSIDC, Kerala State Co-operative Bank, Commercial Banks and the deposits of Non-Resident Keralites. The focus of the government is to enhance the industrial base of the State by uplifting local infrastructure with the help of LSGs.

Impacts of global climate changes have affected the State in the form of torrential rains, flood, sea erosion, changes in flow of rivers, changes in crops, etc and it affected badly the livelihood of a large section of people of Kerala. Finance

Trends of Major items of Revenue Expenditure (from 2015-16 to 2021-22) Rs Crores



Minister has announced Rs 500 crores Environment Package for promoting sustainable development and conserving ecology. The storage capacity and the free flow of water bodies of Kerala have been severely affected because of the deposit of silt, clay, sand, waste etc due to the recent increase in rain and flood. A comprehensive program has been proposed to protect the banks of canals and rivers, removal of deposits in water bodies to ensure its free flow and carrying capacity, construction of mangrove barriers etc. An amount of Rs 50 crores allocated as initial fund for the package and it will be jointly implemented by the water resources, environment and LSG Departments.

Coastal area is very important for the economy of Kerala because ten percent of national coastal area is in Kerala and nine districts of the State shares it. In the budget, a two-pronged approach has been adopted for coastal development; the coastal conservation and improvement of coastal infrastructure. Bathymetric and hydrographic studies will be conducted for finding out the technologies most suitable to the structure of our coastal areas. Expertise of various institutions to be utilized for formulating the most suitable strategy for coastal

conservation - suitably integrates modern technology along with the financial support of KIIIFB for coastal conservation. Eco-friendly Wayside Amenity Centres will be established along with coastal highway project. It is expected that the development package comprising coastal conservation project, coastal highway project and wayside amenity project will provide a huge economic stimulus to the coastal sector. Stakeholder participation and the linking of their livelihood in the coastal development processes, fisheries management, coastal infrastructure, etc are very important for solving the persisting problems of coastal areas.

Tourism constitutes about 10% of GSDP and 24% of the total employment of the State. Covid's second transmission and subsequent restrictions, have wiped out the livelihoods of those in the tourism sector, which is the mainstay of Kerala economy. Government will encourage a responsible tourism approach based on environmental reconstruction, taking the crisis as an opportunity for further progress. Kerala Financial Corporation will provide loan for mobilising more working capital in this sector. A rejuvenation package will be introduced with the help of the government share

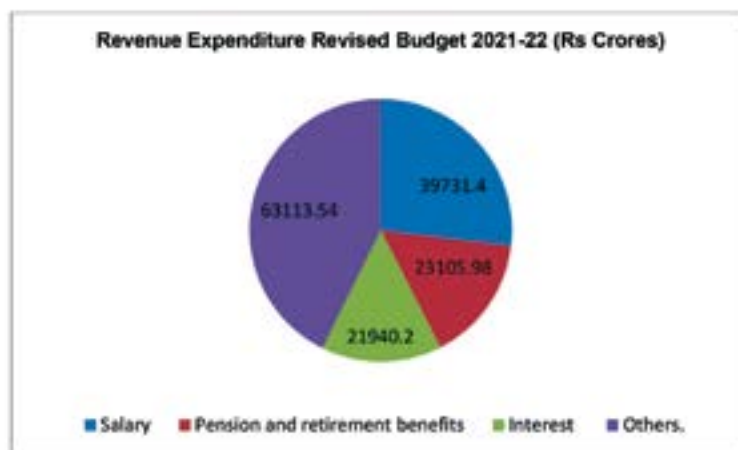
of Rs 30 crore. The priority of the government is to rebuild domestic tourism sector for attracting more international and domestic tourists by the next tourism season. The budget has earmarked Rs 50 crores for introducing Malabar Literary Circuit and Bio-Diversity Circuit.

Education and Knowledge Economy

The revised budget of Kerala has proposed to launch a Knowledge Economy Mission to develop the capacity for knowledge creation in the ongoing knowledge explosion and fourth industrial revolution at the international level. The government aims to rebuild the higher education system to create a new environment in Kerala society with the necessary skills to generate impact in the local and global job sectors. The budget has proposed to constitute a high-power commission to examine the education system and suggest steps to rebuild the education sector to develop capacity for knowledge creation. Kerala Digital Work Force Management System (DWMS) will be expanded by including Kudumbasree as a Sub Mission. K-Disc with the help of global recruitment portals will connect trained job seekers with employers and facilitate their subsequent engagement thereby ensuring the development of the digital platform and the potential for new opportunities. The allocation for 'knowledge economy fund' has increased to Rs 300 crore.

The Government is intended to construct a new Kerala Model of Development by transforming the economy into a knowledge economy through the power of knowledge capital. This will address the twin problem of educated unemployment and slow pace of economic growth. The greatest challenge is to create the necessary skill set for transforming the youth into

Revenue Expenditure of Govt of Kerala (Revised Budget 2021-22)



global human resource. Existing governance and institutional structure has to be massively restructured for establishing a knowledge economy in tune to the requirements of global markets. The budget has announced various programs in this direction to create more e-governance and e-filing facilities. Civil supplies department has started increasingly using the e-governance platforms for effectively intervening in the open market. Even though the announcement of tax-free budget is a massive challenge, the government aims to relook its financial position by constructive engagements once the covid emergency situation gets over. Government will formulate the most comprehensive plan for revenue enhancement and expenditure reduction. It is expected that the fourteenth five year plan (2022-23 to 2026-27) of the State will include a detailed action plan in this regard. A well structured and effective Local Self Government system is the distinguishing feature of Kerala for tiding over any exigencies faced by the State including Covid-19. Most of the programs announced in the budget focus LSGs as the key implementing agency. This will help the government to quickly transfer the policies and program for the

benefit of people of all walks of life. They are also having the largest potential for augmenting revenue for the State.

The Revised Budget presented by the finance minister, Shri. K N Balagopal has effectively addressed the changes in dimensions of challenges facing by the Kerala Model of Development due to Covid 19 medical emergency. Along with the challenges, he has realised that this also an opportunity for Kerala economy for addressing the post-Covid requirements of Indian and world economy like, medical tourism, exporting of medical equipments and medicines vaccines, adoption of emerging technologies like artificial intelligence, Internet of Things, Data Analytics, quantum computing etc. Along with the huge expansion of public expenditure, the government has expressed the vision of creating favourable eco-system for more private investments in the major areas of the economy. In this Budget, the focus of creation of ecosystem means not only the creation of investment friendly environment and support mechanism, but also to transform the education and skill base of the economy along with adequate emphasis of production sectors like agriculture and industry. ■